



Your complete guide to **positioning**

2023

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Introduction

Keen to delve deep into the art and science of positioning? You've come to the right place.

This guide promises a deep dive into the core facets of positioning, answering pressing questions like: What differentiates positioning from messaging? How do value propositions slot into the positioning puzzle? And, crucially, What role does positioning play in connecting with customers?

Beyond just definitions, we'll be taking you through real-world applications, armed with exclusive insights from leading lights in the product marketing domain, Daniel Kuperman of Jira Align and Lara McCaskill of LinkedIn.

So, whether you're looking to grasp market positioning essentials or master the art of crafting compelling positioning statements, our chapters are here to guide you every step of the way.

Let's dive in, shall we?

What does positioning mean in marketing?

A **positioning** strategy is a set of actions and processes designed to improve the image and visibility of a brand, company, or product.

Product marketers should plan for how people in the market will think about their product because the only product positioning that counts is what your customers think. The product has a life of its own, and if a customer isn't thinking about it, your product isn't occupying the position you want it to.

Successful positioning strategies not only focus on where the product is today but how the product could progress to where you would like it to be in the near future.

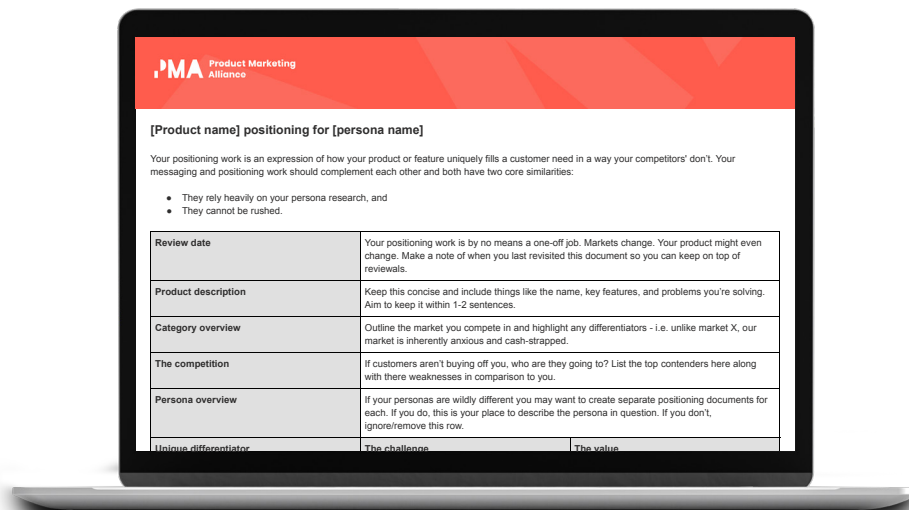
Businesses use marketing to communicate their market position to customers and influence their perception of the brand's products or services. Marketing establishes the brand identity, influencing consumer perceptions of its position in the market relative to the alternatives available from competitors.

"Positioning is not what you do to a product. Positioning is what you do to the mind of the prospect. That is, you position the product in the mind of the prospect."

(Ries & Trout, 2001)

Check out our tried and tested [positioning template](#), approved by the likes of Microsoft, Klue, and Facebook. It'll help you streamline your processes and achieve your highest positioning potential.

And, if you're looking to enhance your positioning credentials even more, Positioning Certified is packed with key learnings that'll improve your knowledge.



ENROLL TODAY



What positioning isn't

Positioning vs. messaging

Positioning outlines why your product is unique in comparison to market alternatives. [Messaging](#) describes to your target segments what you'll do to deliver on the promises made in your positioning statement.

Positioning vs. value proposition

A [value proposition](#) is different from positioning in that it's a promise you make to your customer and describes the benefits your product or service will bring to your target audience.

Positioning vs. differentiation

Positioning refers to acquiring space in the mind of the consumer. On the other hand, [differentiation](#) is a tactic commonly used by companies to make their offering stand out and appeal to their target market more effectively.

Positioning vs. branding

Branding is when a company creates a specific image of a product via the combination of logos, taglines, slogans, and various advertising strategies.

For example, Nike has the tick, the 'Just Do It' slogan, and a range of inspirational advertising campaigns. On the other hand, positioning focuses more on the way that a product is viewed by the consumer in comparison to other brands.

Exclusive content: A practical guide to creating a winning positioning and messaging strategy



Okay, so we've established that messaging and positioning are not the same. However, they do often go hand in hand, as Daniel Kuperman, Head of Product Marketing at Jira Align, explains below.

This exclusive article is based on Daniel's Masters of Product Marketing presentation in October 2022 and is normally only available to [PMA members](#). Members can also watch the original presentation in its full glory [here](#). Find out more about the benefits of PMA membership [here](#).

Daniel Kuperman, Head of Product Marketing at Jira Align

One of the most frequently asked questions in the [PMA Slack channel](#) is, "Who has a [messaging framework](#) that I can use?" [Messaging](#) and [positioning](#) are some of the core activities of product marketing, yet many people still struggle not only with how to get them done but also with making sure that their organizations adopt them.

Even experienced product marketers sometimes get stumped when it comes to messaging and positioning, as most of us [develop product marketing skills](#) through trial and error. My early career would've been so much easier if PMA had been around with all their content and [templates and frameworks](#).

Throughout this article, I'd like to provide you with some best practices and a process that you can adopt, adapt, and use in your own company the next time you're faced with the challenge of crafting positioning and messaging for the products that you sell.

In this article, I'll be exploring:

- Product positioning
- Positioning templates
- Context
- Data collection
- The positioning process
- What messaging is, and why it's important
- The messaging test
- Messaging deployment

What is product positioning?

Let's start with positioning, which is all about where you want to play and where you choose not to play.

There's no perfect positioning strategy, and once you've established one it shouldn't be set in stone; you have to update and refresh it over time. It's also worth noting that good positioning is also not a clear determining factor for success. However, poor positioning will certainly spell doom for your product.

Several key factors go into your positioning, including...

The market

- Which market are you playing in?
- Is your solution entering an existing category or creating a new one?
- How dynamic is the market?

The competition

- Who are the key players?
- How similar are their capabilities?
- Do any of them have greater capabilities?

These questions can be answered via thorough [competitive intelligence](#).

The buyer

- Who buys your product and why?
- What challenges and needs do they have?
- What is their buying process?
- Will your future customers look like your existing ones?

Your differentiators

- What key product characteristics make you unique?
- Why do you win and why do you lose?
- What value does your company bring to the customer?

The positioning template

Now, we have all this information what do we do with it? You want to start by using it to fill out a positioning template. You can download your own from the [Product Marketing Alliance's membership area](#).

Why is a positioning template useful?

The first reason you should use a positioning template is to explore all the different possible directions you could take and then document and explain why you believe certain directions are better for your company than others.

The second reason is to ensure clarity on the direction that you're suggesting. You can clearly articulate the reasons for your choices, such as why you should go into healthcare and not financial services, or which buyers you should go for and which ones you should avoid.

The document also helps create alignment across different stakeholders like sales, support, and many others, so that they are able to participate in the positioning exercise and align on expected outcomes.

Finally, laying out all of this will help you see how to best set the context for your buyer and create a narrative that will help you position your product in the minds of your customer.

Exploring context

Let's take a quick detour here to talk a little bit more about that critical component I just mentioned: context.

In Predictably Irrational, Dan Ariely states that most people don't know what they want unless they see it in context. Below, you can see a good example from the book. The question is whether the dark blue circle on the left or the right is larger.



In fact, when we remove the light blue circles and show just the dark blue ones side by side, we can see that they're the same size.

When we see circles surrounded by smaller or bigger ones, our brains trick us by changing how we interpret things. In other words, the context in which the circle is placed affects how we perceive it – the same applies to your product.



This is why it's wise to choose your market and your competitors carefully. When someone asks you who you compete with, the answer you give them will give them a frame of reference and immediately place you in either group A or group B.

Also, because we love comparing things that are easily comparable, if you're selling software to developers, for example, you should use examples that developers understand to set the context.

Similarly, if you're selling software for human resources, you want to set a familiar and easy-to-understand context. This is a core part of positioning. I'll give you a couple of examples.

Many years ago, I worked at a startup in the [sales enablement](#) space. We were selling primarily to sales teams.

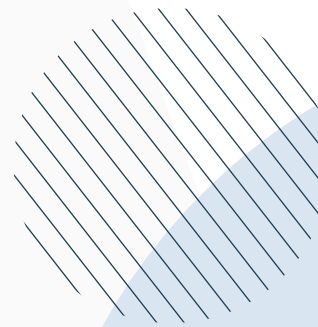
When we tried to expand our footprint and engage outside the sales team, for example with human resources leaders, we had to use a different context so that the HR people could understand.

We also had to be careful about how we set the context so we wouldn't be lumped in alongside all of the other HR software that they were used to buying.

We talked more about how our solution was a solution for employee enablement, not just sales enablement. This differentiated us from solutions like learning management systems and learning portals and enabled us to expand our footprint within the company.

I also like to use the example of a well-known company in the tech space called Gong.

They positioned themselves not as a product for call recording and transcription, but as a new way of getting intelligence out of sales calls – they called it conversational intelligence. This was an inspired way of harnessing context to create a whole new category.



What can help you set the right context?

The context isn't just something you write in a document and forget. For the positioning you create to be effective, it needs to be reflected across multiple elements such as sales, marketing, product, pricing, and your overall go-to-market activity.



Sales

- Pitch deck
- Objection handling
- Sales Process



Pricing

- Pricing & packaging
- Licensing model
- Discount policy



Marketing

- Website
- Online ads
- Brand elements



GTM

- Target segments
- GTM channels
- Local presence



Product

- Demo
- Documentation
- User experience

Much like when you go to an expensive restaurant, and you're expecting a certain quality of service, a certain ambience, a certain number of tables, lighting, etc, the same is true with the product you're selling and everything that goes around it.

Data collection

Let's get back to the positioning document. To complete it with the right data, you're going to use a series of inputs:

- [Win/loss analysis](#)
- [Competitive research](#)
- Analyst reports and inquiries
- [Customer interviews](#)
- Sales interviews
- Workshops with your sales, sales engineering, and marketing teams

I'm going to share a couple of data-collection exercises with you. The first exercise is the creation of a spreadsheet where you list out your core product features along with a quick description to ensure everyone understands which features you're talking about.

Then, you ask the team, either individually or as a group, to answer "yes" or "no" alongside each feature to show which ones they believe are unique to your product in the market.

Next, hide that column and ask the team to identify which features they believe are most important to customers in terms of solving their major challenges or pain points. This'll lead to a rich discussion and list of important and unique features, which can then be sorted and grouped.

Feature	Description	Unique Us (Y/N)	Important to Customer (Y/N)

Another way to run this exercise is by creating post-it notes, either physically or virtually, listing your key capabilities and features. You can even include some different colored notes with capabilities that might be missing from your product today.

Then, ask people to rate each one as high, medium, or low in terms of importance to the customer. After that, ask them to rate which ones they believe to be key differentiators for your product capabilities in the market.

The outcome of these exercises is that you come up with a shortlist of unique product attributes that match your customer's most pressing needs. It's also a great way to get alignment across teams by discussing what they believe to be important or not important to customers and unique to your product.

The positioning process

Now that you've collected all that data, it's time to fill out the positioning document and share it with stakeholders across the organization. They could include sales leaders, others in your team, and business leaders in other areas.

This'll ensure that everyone gets a peek at what you've learned about your key positioning areas so that later on you won't hear any questions about why you decided to spend marketing dollars on one segment, persona, or feature versus another.

This is also a great opportunity to get feedback from others and have them point out any possible gaps, which shows you are not creating this in isolation – you're involving your cross-functional teams and customers.

After [aligning your stakeholders](#), you can then proceed to the main outcome of this data collection and positioning exercise: the positioning statement. There are several ways to craft positioning statements. One classic structure includes the following elements:

- For [target]
- Who are [segment]
- The [product/brand]
- Provides the [category]
- With [difference]
- Because of [proof]

Whichever format you choose, the aim is to end up with a concise statement that clearly articulates where you play, for whom, and why you win.

Wait! Don't do this...

Now, let me stop you right here. Before we go any further, I want to warn you about a mistake that I've seen over and over again: You create a great positioning statement, and you think you're done. Guess what? Your work is not yet done. Don't go emailing people the statement or putting it on a website just yet.

The full process has one more element: the messaging. The positioning statement is just an internal document that you'll use to guide the creation of your external messaging and everything else that goes along with it. It also helps align teams internally.

Can you use it externally? Sure you can, but this is not the only messaging that you're going to create. Having said that, let's jump into what messaging is.

What is messaging and why is it important?

In short, **messaging** is how you communicate your **value proposition** to your customers. Let's dig into how you can do that and why it's important.

Your messaging is going to help you expand on your positioning statement to articulate to your buyers why you're better than the alternatives. It also helps you to set the context we talked about earlier, putting you in the right category in the mind of the customer and supporting your key differentiators.

On top of all that, it helps your broader teams to articulate your story and key value proposition. This helps activate your positioning and gives guidance to the rest of the organization about where you play and how you win.

There are several messaging templates out there, but they typically contain a few key elements:

1. **Your positioning statement** – The starting point of your narrative
2. **Short and long product descriptions** – The narrative
3. **Key messaging/outcome pillars** – Supporting narratives
 - a. Customer challenges or pain points
 - b. How your product solves those pain points
 - c. The value your product provides
4. **Proof points** – Customer case studies, quotes, ROI reports, etc.

The messaging test

Now, as you craft your messaging, how do you know if it's any good? It's easy to get lost in industry terms, try to cover too much ground, or – on the opposite end – take an overly high-level view of your product.

To help you avoid these traps, here are some things to ask yourself and others as they help you with this exercise:

1. Does our new messaging document convey who we are as a company and how we see the market?
2. Is it speaking to a clearly defined audience? (Remember: if your product is for everyone, it's for no one.)
3. Are we demonstrating our understanding of our audience's concerns?
4. Is a tangible business problem or opportunity clearly laid out?
5. Have we shown the cost of doing nothing?
6. Is the path to a solution clear?
7. Are our capabilities truly differentiated from the alternatives in the market?

Messaging deployment

Now that you've crafted a core message that the whole organization can rally around, let's look at how you deploy it.

There are two important tasks as you deploy your messaging. First, there's messaging enablement, which is a series of activities that you're going to do internally to get all your teams aligned and trained on the "why" of your messaging and how to use it.

Second, there's messaging activation, which is all about customer-facing activities. In other words, it's how you translate your messaging into marketing campaigns, website pages, product demos, and more.

Let's wrap up

As you can see, there is a lot that goes into crafting an effective positioning and messaging strategy. I could go on and on, but I hope this article has given you food for thought and ideas for what to do next time you're tasked with updating your company's messaging or creating it from scratch.

What are the types of positioning?

You can position your product by:

- **Customer needs:** Knowing your target market and how you will fulfill their specific needs.
- **Product price:** Positioning your brand/product as competitively priced
- **Product quality:** Positioning your brand/product as high quality:
- **Product use and application:** Associating your brand/product with a specific use
- **Competitors:** Positioning your brand as better than your competitors



What does market positioning mean?

Market positioning is a strategic exercise we use to establish the image of a brand or product in a consumer's mind.

This is achieved through the four Ps: promotion, price, place, and product. The more detailed your positioning strategy is at defining the Ps, the more effective the strategy will be.

Why is market positioning important?

Positioning can make or break a product. Do it right and you'll have a receptive audience, confident they've made the right decision despite a slew of other options. Do it wrong and you'll be lucky if your product registers with consumers at all.

Market positioning is integral to your company's branding and how your target market perceives you.

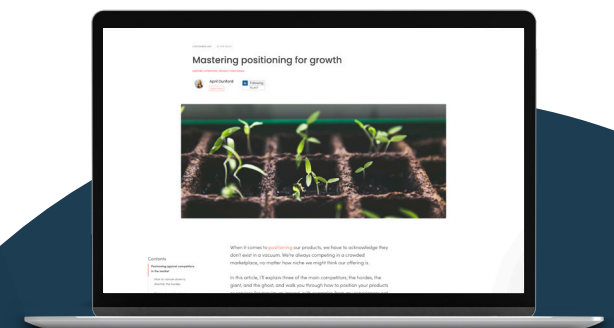
It should embody your core values and communicate your principles to customers. Forming a successful product positioning strategy is one of the most fundamental elements of marketing because it allows your business the opportunity to differentiate itself from its competitors.

Well-executed product positioning also helps internal teams such as sales, marketing, and customer success in delivering exciting customer experiences, oftentimes leading to an upturn in [customer retention](#) and stronger [advocacy programs](#).

How market positioning helps you connect with customers

The objective of market positioning is to get customers to view your product and brand as the leader in your respective market.

When market positioning is well executed and completed correctly, this opens up the opportunity for you to connect with your customers. People are interested in purchasing products that resonate with them. If consumers think your product is capable of delivering the benefits they're looking for, then the likelihood is they'll buy your product ahead of others that are available.



Psst! Want more positioning secrets?

April Dunford, Founder of Ambient Strategy, explains how to master positioning for growth [here](#) – check it out!

Examples of market positioning

- A ladies' shoe company might position its products as a status symbol,
- A fast-food chain that serves sandwiches might position itself as the healthier fast-food option, or
- A car company might position itself as the safest option for a family.

These are all great strategies for standing out in a crowded marketplace.

What is a brand positioning strategy?

Brand positioning is when a company positions its brand in the mind of its customers. This strategy plays a vital role in helping you stand out from other companies offering similar products.

What are the three levels of brand positioning?

There are three types of positioning strategies: comparative, differentiation, and segmentation.

1

Comparative positioning

Comparative positioning is when a company compares its product or service with alternatives that are available to its target demographic.

This helps establish their USPs and highlights their value when compared with other companies on the market.

2

Differentiation positioning

Differentiation positioning is when a company focuses on features that can't be copied by a market rival, i.e. they use the feature to 'differentiate' themselves from competitors.

This approach is useful because it allows companies to earmark a particular feature they're able to offer that others cannot.

3

Segmentation positioning

If a company is targeting more than one target audience, segmentation positioning is beneficial, as it helps address the specific needs of each group.

Brand positioning examples

- Pepsi vs. Coca-Cola
- Starbucks vs. Caribou Coffee
- Netflix vs. Apple TV
- Zoom vs. Microsoft Teams

What is product positioning?

Product positioning is a strategic exercise we use to find a product or service's place in the market. Positioning defines what makes your product different from the others on the market so you can focus on messaging and effectively explain its value to potential customers.

What are the four main components of a product positioning statement?

A positioning statement can be split into four segments: the target, the category, the differentiator, and the payoff.



1. The target

It's important to establish the target before you begin working on your marketing activity. The target market ought to be based on essential criteria including demographics, geography, psychographics, pains, customer needs, and so on.



2. The category

When prospective customers are evaluating a purchase, they need a frame of reference. You need to outline the category in which your brand will be competing. For example, technology, fashion, etc. Providing context for your customer will help establish brand relevance. gives the brand relevance to the customer.

3. The differentiator



When writing a positioning statement, include just one point of differentiation, not several. The unique features or benefits of your product or service will support the main differentiator.

Remember, don't use a bold claim that your product is the "the global leader" as your point of differentiation. Instead, explain why you're the global leader.

Also, ensure you differentiate your product from your customer's perspective and not a business angle. While having a healthy market share or a large turnover may appeal to you, this isn't relevant to your customer.

4. The payoff



This part of your positioning statement is the differentiation with the needs or goals of the target market.

Here, it's essential to communicate to your target personas exactly how your differentiator will address their user needs.

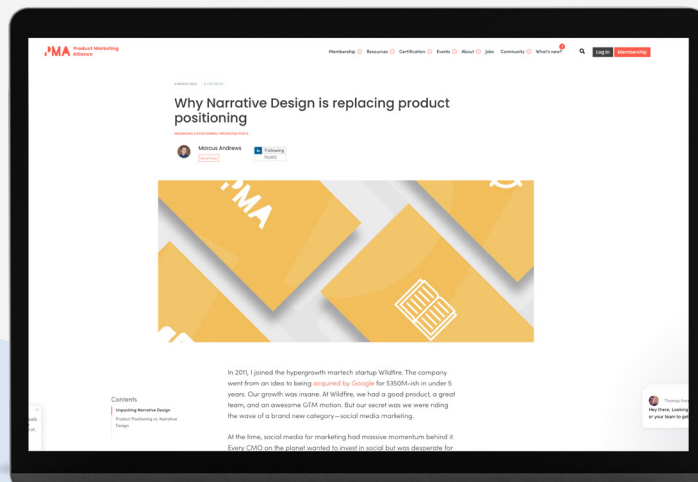
To reinforce our earlier point, a successful positioning statement hinges on an in-depth understanding of your target market. Any understanding needs to be based on bona fide market research – never rely on internal assumptions.

Positioning vs. narrative design

Product positioning contextualizes a product's value for customers so they can understand what it brings to the table. Narrative design is when companies create a story for a product in an attempt to engage a buyer persona.

Want to learn more?

Marcus Andrews, Senior Director of Product Marketing at Pendo, explores the differences between product positioning and narrative design in an article on [why he believes narrative design will replace brand positioning](#).



What are some examples of product positioning?

Now we've covered product positioning in some detail, let's take a look at it in action. Below are a few examples of businesses that have successfully positioned themselves into a gap in the very same market as their competitors.

Delta vs. JetBlue

When Delta stopped serving peanuts and reduced legroom, JetBlue entered the market and positioned itself front and center as the airline with gourmet snacks and ample legroom.

Chipotle vs. Taco Bell

Although both of these brands essentially sell Mexican fast food, Chipotle entered the same market, competing on quality rather than price. One of the company's adverts stated, "We're not afraid to say we're real chickens," – a tagline that positioned the brand as superior in quality to its rival, Taco Bell.

Bumble vs. Tinder

Bumble was positioned as a dating app that empowers women. After the founder had a negative experience with some of the men on Tinder, she designed the app so that only female users could initiate first contact. Bumble has now also expanded beyond dating and allows users to seek friendship and professional connections.

The Coca-Cola Company vs. Mother Energy Drinks

This is a slightly different example in that Coca-Cola was essentially fighting against its own positioning of a product in the market, but it's a great lesson in repositioning.

In 2006 Coca-Cola launched Mother Energy drink into the Australian market. The launch campaign was pretty successful. However, the taste of Mother Energy Drink just wasn't as good as the leading competitors, and repeat purchases were low.

Leveraging its strong brand presence and undoubtedly substantial marketing budget, Coca-Cola was able to reposition the product. They completely changed the packaging, increased the size of the can, and improved the taste of the energy drink.

The relaunch of the product featured the line, "New Mother, tastes nothing like the old one." They didn't shy away from the fact the drink was performing poorly and even poked a bit of fun at themselves.

Ultimately, they successfully repositioned the energy drink, which now competes with the two leading energy drinks in the market – V and Red Bull.

How to develop a positioning strategy

Creating a positioning statement

A positioning statement is a one or two-sentence declaration that identifies your product's unique value to customers in relation to your main competitors.

It's used to ensure a company's marketing efforts are in sync with the brand and [value proposition](#) and is an avenue for communicating these messages to the target clientele.

Before crafting your positioning statement you need to ask:

- Who is your target customer?
- What category does your product or service belong in?
- What's the biggest, unique benefit your product or service offers?
- Can you prove that benefit?
- From there, you can create a compelling positioning statement.

Positioning statement examples

Apple

Apple provides cutting-edge technology for tech-savvy consumers who want the top of line laptops, computers, and mobile devices. Apple promotes inclusion and accessibility for all and takes responsibility for its employees in addition to committing itself to sourcing the highest quality materials and products.

Disney

Disney provides unique entertainment for consumers seeking magical experiences and memories. Disney leads the competition by providing every aspect of related products and services to the world and appealing to people of all ages.

Starbucks

Starbucks offers the best coffee and espresso drinks for consumers who want premium ingredients and perfection every time. Starbucks not only values every interaction, making each one unique, but the brand commits itself to delivering the highest quality coffee in the world.

Amazon

For consumers who want to purchase a wide range of products online with quick delivery, Amazon provides a one-stop online shopping site. Amazon sets itself apart from other online retailers with its customer obsession, passion for innovation, and commitment to operational excellence.

Nike

For athletes in need of high-quality, fashionable athletic wear, Nike provides customers with top-performing sports apparel and shoes made of the highest quality materials. Its products are the most advanced in the athletic apparel industry because of Nike's commitment to innovation and investment in the latest technologies.

Positioning in action at Stitch Fix



Lara McCaskill, Senior Manager of Product Marketing at LinkedIn, reveals how she developed positioning statements during her time at Stitch Fix:

Positioning is the simplest distillation of how your product is uniquely suited to address a specific customer need and how they will benefit from it. The goal is to keep it simple and concise and then bolster it with value props.

I've tried in vain to stuff my key value props into a positioning statement and it's never worked. I end up with a mouthful of marketing jargon that isn't concise or fails to clearly convey the essence of why customers should care about the product.

A framework I like to use is 'What, Who, and Why':

What it is: Using very clear and even plain language, messaging that you'd likely never put in front of a customer.

Who it's for: Who is the customer that will benefit from this? Be specific about them. Speak to their specific needs and motivations.

Why it matters: This is where you elaborate on what is in it for the customer, how this maps back to what your brand and product do, and how it benefits the customer.

It's important to get granular here, as oftentimes the initial benefit or value prop is surface level. For example, when developing value props at Stitch Fix, we knew that the service saves people time and is convenient.

But so many products promise the allure of time savings, so we sought to think about why a customer actually cares about saving time. For Stitch Fix customers, the value of saving time was that it allowed them to spend their time doing something else – likely more enjoyable than dealing with the problem the product is solving.

Identify what that value is for your customers by finding the answers to the following questions:

- What unique attributes does your product have?
- What problem does your product solve for your customers?
- What larger benefit does solving that problem bring?
- What core desires and emotions does your product tap into?

Once you've developed the positioning, from the what and why, it's great to have options. There's never a clear-cut single positioning statement and set of value props for each product. Creating options that index in various directions can help align stakeholders on the direction you want to go.

As a product marketer, you're usually the closest person to the positioning and the work that it informs. Your stakeholders are looking to your expertise to develop this, and it's key to enforce that **positioning is not customer-facing messaging**.

I intentionally write positioning in the third person and with plain language to avoid any misinterpretation – I don't want to see my positioning verbatim in marketing collateral.

To help contextualize this for stakeholders, I like to include real-world examples of how each option would manifest in a marketing campaign. I'll mock up sample email copy or paid ads to help stakeholders visualize how each of the options comes to life in the marketing strategy.

It's not enough to just position your brand to appeal to a certain customer, once you've crafted your statement, it's time to put it to the test. Experiment with it, and ask your customers for feedback on whether or not it achieves its intended goal – and don't ever stop this feedback loop.

Conclusion

It's time to draw the curtains on our deep dive into positioning. With the perspectives we've shared, the questions we've tackled, and the invaluable insights from renowned PMM leaders, we trust you're walking away with a firm grasp of this product marketing cornerstone.

But remember, the journey towards positioning mastery never ends. Harness what you've learned, watch its transformative effect on your business, apply your learnings from this process, and begin a cycle of continuous improvement.

To impactful positioning and beyond!



Enroll today on our
positioning course!

Hang on, aspiring positioning pro!

Feel like diving deeper? Introducing the **Positioning Certified Masters** course – the answer to every PMM's positioning problems. Curated especially for leaders and future stars of Product Marketing, it's not just a course; it's a goldmine.

Think templates tried by the titans, fireside chats with experts like April Dunford and Marcus Andrews, and an entire arsenal of tools to refine your positioning prowess.

Positioning is the unsung hero of marketing success, and with this course, you'll be singing its praises in no time. Enroll today and become a certified master!

GET POSITIONING CERTIFIED



